

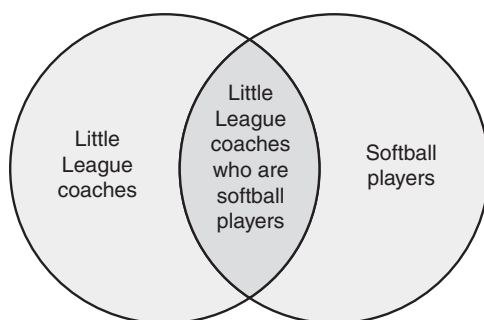


FIGURE 7.4 Softball Players Are Not Necessarily “Representative” of Little League Coaches

equally likely because a coin toss generates a 50:50 probability ratio of heads to tails. Therefore, respondents who chose Sequence B may be subject to sample-size neglect representativeness bias (also known in this case as Gambler’s Fallacy, or the “Law of Small Numbers”). If six tosses of a fair coin all turn out to be heads, the probability that the next toss will turn up heads is still one-half. However, many people still harbor the notion that in coin tossing, a roughly even ratio of heads to tails should result and that a sequence of consecutive heads signals that a tails is overdue. Again, this is a case of representativeness bias. The law of large numbers, when applied to a small sample, will produce such biased estimates.

ADVICE

In both sample-size neglect and base-rate neglect, investors ignore the statistically dominant result in order to satisfy their need for patterns. Due to the fact that many examples of representativeness bias exist, this advice tries to address two especially prevalent errors that representativeness-biased investors often commit. One of these mistakes falls in the base-rate neglect category, while the other exemplifies sample-size neglect.

Advice for Base-Rate Neglect

Earlier in the chapter, a very effective method for dealing with base-rate neglect was presented. When you or a client sense that base-rate neglect might be a problem, stop and perform the following analysis: “What is